

Business Valuation

①

Introduction

Valuation in relation to accounting refers to the worth of a business. The term value is by itself dependent on the prospective income that an asset will realize;

NEED FOR VALUATION

Valuation may be required for the following purpose

- 1 - Estate purposes to determine the capital transfer tax.
- 2 - Amalgamation / Absorption schemes
- 3 - To purchase shares for controlling interest.
- 4 - For security margin purposes e.g. bank lending.
- 5 - For liquidation purposes
- 6 - To discharge debts & liabilities.

FACTORS INFLUENCING THE VALUE OF BUSINESS / SHARES

1. Dividend Policy
2. Past and potential earnings capabilities of a business
3. Market price of the company's ~~asset~~ shares
4. Value and composition of the company's asset
5. Market acceptability of the company's product.
6. Ownership Structure.
7. Availability of raw materials

8 Caliber of Management

METHODS OF VALUATION

Valuation may be computed in 2 main ways.

1. Income basis
2. Equity/Net Asset Basis (i.e. Ratio of Ordinary Shares to Net assets).

INCOME BASIS

This may be computed by using any of the following methods.

i) Earnings Yield Basis

This method values a business on the basis of current/expected profitability of the business. It is given as follows:

$$\text{Value} = \frac{\text{Current/Maintainable Earnings}}{\text{Earnings Yield.}}$$

Where :

$$\Rightarrow \text{Earnings Yield} = \frac{\text{Earnings Per Share}}{\text{Market Price Per Share.}}$$

→ Maintainable earnings equals expected profit the economy can achieve within a foreseeable future.

ii) Dividend Yields Basis

This determines the value by capitalizing the current dividend payment and is measured as follows:

$$\text{Value} = \frac{\text{Current/Expected Dividend}}{\text{Opportunity Yield.}}$$

Where Opportunity Yield = $\frac{\text{DPS}}{\text{MPS}}$ of a similar firm.

EQUITY/NET ASSET BASIS

- i Net Tangible Asset (NTA) i.e. Valuing the business on the basis of the Net Book Value of the business. It's determined as follows:

	₹	₹
Total Assets		xxx
Liabilities	xxx	
Intangible Assets Value.	<u>xxx</u>	<u>(xxx)</u>
		<u>xxx</u>

ii Asset plus goodwill Basis

The value is determined by adding an estimated value of goodwill to the NTA

	₹
Net Tangible Asset (NTA)	xxx
Add Value of goodwill	<u>xxx</u>
	<u>xxx</u>

Where goodwill is x years purchase of buyer Profit.

iii Replacement Cost Basis

(4)

Value is determined at what the assets would cost if they are to be replaced at current market prices in their current position i.e.

	At
Replacement Cost	xxx
Liabilities	(xx)
Value	<u>xxx</u>

iv. Liquidation & Break-up Value Basis: The value of the basis is the amount of money that could be realised from an immediate sale of the asset less amount needed to discharge the liabilities including Preference Shares and Cost of realisation i.e.

	At	At
Liquidation value		xxx
Liabilities	xx	
Incidental cost of realisation	<u>xx</u>	<u>(xx)</u>
Value.		<u>xx</u>

v. Market Price Method: This is for quoted companies and value is obtained as follows:

NPS x No of ordinary shares in issue	At
	<u>xxx</u>

Illustration

(5)

The entire share capital of Kolo Ltd, an unlisted company is held by the three directors of the company. They have decided to sell their shares in order to complete a divestment proposal agreed with management and as such wish to know the likely value of the share prior to approaching a number of prospective buyers. Should they fail to agree a price with a buyer, the company will be liquidated. The following facts and information are provided.

(a) Statement of Financial Position at 31st Dec. 2020

	£'000	£'000
<u>Non-Current Assets</u>		
Freehold properties		1300
Equipment		3,120
<u>Current Assets</u>		
Inventory	1,395	
Receivables	965	
Bank	130	
	<u>2,490</u>	
less: Current liabilities	<u>830</u>	
		<u>1,670</u>
		<u>6,090</u>

b. Extracts from the Published Statement of profit or loss for the last 3 years

	2018 £'000	2019 £'000	2020 £'000
Depreciation	<u>450</u>	<u>450</u>	<u>450</u>
Directors remuneration	<u>500</u>	<u>580</u>	<u>600</u>
Net profit b/f deducting Dividend	<u>650</u>	<u>720</u>	<u>835</u>
Dividends	450	450	450

It was discovered that inventory was overvalued at the end of 2017 by £120,000. The directors have increased directors' remuneration in order to minimise the aggregate tax liability; a realistic charge for services rendered would be £375,000. The equipment is old and in need of replacement, annual depreciation based on current replacement cost would be in the region of £600,000.

c) One of the directors, Goliath expresses the view that it is most appropriate to value the shares on the basis/earnings ratio. For this purpose he argues that earnings should be defined as the average reported profits for the last three years, after making proper charges for depreciation and directors remuneration and correcting the inventory error made in 2017.

d. Relevant data relating to two listed companies engaged in the same line of business as Kolio Ltd.

	Dividend Yield	Price/Earnings Value
Company 1	9%	5.4
Company 2	11%	6.6

e. Figures obtained from experts for items appearing in the SOFP of Kolio Ltd at 31 December 2020.

	Replacement Value £'000	Liquidation Value £'000
Freehold properties	3,000	3,000
Equipment	1,730	1,080
Inventory	870	1,600

Required

Calculate the value for the entire share capital of Kolio Ltd using:

- i. Price/earnings basis
- ii. Book Value Basis
- iii. Liquidation (break-up) basis
- iv. Replacement Cost basis
- v. Dividend yield basis

Notes: Assume you are making the valuation at 31st Dec. 2020. Ignore taxation and liquidation cost.